

U.S. Internet

Meta Platforms Inc.

Rating

Outperform

Price Target



800.00 USD (850.00 OLD)



Mark Shmulik
+1 917 344 8508
mark.shmulik@bernsteinsg.com



Wenhuan Chang
+1 917 344 8546
wenhuan.chang@bernsteinsg.com



Deeksha Pandey
+1 917 344 8447
deeksha.pandey@bernsteinsg.com

Meta 2Q26: Avoiding TikTok 2.0

Call it '[Personal Superintelligence](#)' or '[AI for everyone](#),' Mark Zuckerberg's vision for the consumer AI is consistent in his 2nd annual memo published this week. The specifics around what AI for consumers looks like, when and if this future presents itself, and how the business model works remain unanswerable. While everyone else zigs to focus on the easier-to-monitize enterprise segment, Meta is zagging towards the greenfield consumer opportunity. If they can solve consumer, their right to win, or at least compete, across 3.6B users might be unmatched, but it remains an expensive IF.

AI-charged core fine. Meta revenues grew +28% Y/Y [27% FxN] as users returned to growth and AI-charged engagement and ad performance efforts continued to deliver. 3Q revenue guidance of +25% Y/Y at the high-end was a touch above expectations, while operating margins ex-one-time legal fees met the bar at 35%. The core business continues to see performance tailwinds from AI efforts pointed in this direction. ... table stakes. The bottom end of FY26 expense and CapEx guidance came up modestly, widely expected, while top-end remained unchanged.

Consumer AI is a different ballgame. If you want to understand why Meta has been so aggressive in their frontier model and physical capacity buildout ... TikTok. Consumers are unpredictable, but when they start to do something new - AI search with ChatGPT, Short-form video with TikTok - they move quickly. Meta needs to be able to lead and/or respond. In the world of AI that means having a frontier model, talent to ship product, consumer AI hardware, and capacity to deliver. Meta's just about ready.

Investment Implications

(still) Need to see it to believe it, but if they get this right... **Remain Outperform, PT \$800 (-\$50)**

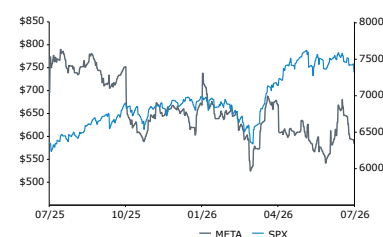
Reported EPS	F25A	F26E	F27E
META (USD)	23.49	32.27	36.68
OLD	--	34.03	37.70

Financials	F25A	F26E	F27E	CAGR
Revenues (M)	200,965	256,376	312,754	24.8%
EBITDA (M)	101,892	118,537	160,404	--
EBIT (M)	83,276	87,381	107,861	--
EBITDA Margin (%)	50.7	46.2	51.3	--
Operating Margin (%)	41.4	34.1	34.5	--

Close Date	29 Jul 2026			
META Close Price (USD)	585.61			
Price Target (USD)	800.00			
Upside/(Downside)	37%			
52-Week Range	796.25/520.26			
SPX	7,316.15			
FYE	Dec			
Div Yield	0.4%			
Market Cap (USD) (B)	1,486.53			
EV (USD) (B)	1,492.12			
Performance	YTD	1M	6M	12M
Absolute (%)	(11.3)	4.1	(20.7)	(16.3)
SPX (%)	6.9	(1.7)	5.0	14.8
Relative (%)	(18.2)	5.8	(25.7)	(31.2)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our [Global Research Disclosure Website](#).

First Published: 30 Jul 2026 01:10 UTC Completion Date: 30 Jul 2026 01:10 UTC

www.bernsteinresearch.com

DETAILS

Meta reported 2Q26 results after the market close.

PORTFOLIO MANAGER'S SUMMARY

There's not much to report back on today. Revenues... in line, margins (ex one-time legal costs)... in line, 2026 CapEx saw the bottom end of the range come up by \$5B but top-end unchanged... about as expected. And the AI story? Still a work in progress.

The earnings call felt a lot like a good old-fashioned brainstorming session. Model APIs for businesses, subscription and outcome based pricing for AI products, AI agents for businesses for customer service and sales, consumer AI agents that operate 24/7, temporarily selling excess compute, and so on. Whatever AI business models you can imagine coming out, that's the opportunity ahead of Meta. But just like those McKinsey problem-solving sessions, **ideas shared on PowerPoint decks or earnings calls aren't real. That is, until it is real.**

What Meta is building isn't something optimized for earnings calls. Earnings calls are for estimate revisions and quantitative evidence of new TAMs, new product engagement traction, and revenue run-rates. We're just simply not there yet. But if you want to better understand why then is Meta taking such an expensive and unpredictable ROIC endeavor while others AI players at least grapple with demand and commoditization risk, the answer lies at the beating heart of Meta: consumers.

Meta gets to count 3.6 billion daily users across their family of apps, and incredibly they're still growing with Instagram now surpassing 2B+ daily users, WhatsApp is seeing 30 million messages per second, and even Threads now has 500M+ monthly users. Every once in a while, something new captures the consumer zeitgeist. Maybe it's a temporary fad, remember Clubhouse and BeReal? But other times, something comes along that completely alters consumer behavior and given Internet's proliferation the speed to exit velocity is faster than ever before.

Twice in the past decade, Meta's been caught off-guard with sudden changes in consumer behavior. The first was short-form video with TikTok, where after several years of scrambling Meta was able to ship and scale Reels and plug the existential risk. The second, of course, was ChatGPT which was recently reported reaching ~1B weekly users. In the first example, Meta's been clear that one of their primary constraints responding quicker was the lack of available compute. In the ChatGPT case, to respond Meta not only needs the same excess compute, but also a leading frontier model. None of this is easy to predict, even OpenAI accidentally fell into ChatGPT's success.

Let's be clear about a few consumer AI truths:

1. **No one knows what's coming next for consumer AI.** After the initial wave of AI chatbots offers a Search on Steroids experience, consumer behavior has mostly stalled out. We haven't had a coding use-case break through like we've seen over on the enterprise-side. Sure it's nice to envision a world where AI agents are running around as our personal assistants, but who knows if and when that happens? Remember how short-lived the agentic commerce euphoria was? What if AI search is as good as it gets?
2. **No one knows when consumer AI adoption scales up.** Let's assume that eventually consumers figure out how to close the AI utility gap to enterprises. It took about ~5 years for smartphones for reach 50% market share in the US after the iPhone launch. That would be a great outcome for the next wave of consumer AI! On the other hand, we've more than a quarter of a century into the e-commerce era and eCom penetration still sits at *just* ~20% of retail sales in the US. Decades is a tough pill to swallow.
3. **Meta is the last-man-standing focused on consumer AI.** There's nuance to this answer, of course. Meta's also focused on business with business messaging agents, model API availability, and re-selling bare metal compute. And while Google and OpenAI have both pivoted their primary focus to enterprises given the easier ramp to monetization, it's not that they've abandoned Consumer AI all together. But increasingly, while both of those competitors are increasingly prioritizing and competition for enterprise dollars, Meta appears perfectly equipped to go after Consumer AI without distractions.
4. **Meta's arming themselves to be ready.** Whether Meta or someone else unlocks the next killer consumer use case, Meta's building out that war chest to respond. In an ideal world, Meta's the one that creates the new thing and proceeds to scale up the business unimpeded by any constraints. But even in a world where a competitor finds product-market fit with something, Meta's sitting here armed with compute capacity, a leading frontier model, AI optimized consumer devices, and

a killer team of AI engineers ready to respond... and if this past decade has shown us anything, no one responds better than Meta.

5. **Meta's cooking something up, but TBD whether the recipe works out.** We know Meta wants agents in everyone's hands, and even AI search tools would be good-enough to offer further tailwinds to revenue performance. Stay tuned as we fully expect the barrage of AI product announcements to come in 2H26 and beyond.

This PM summary has turned into a bit of a manifesto, but the earnings call offered very little incremental data from which to work off of. Yes, AI-enhancements to the core business continue to scale nicely across content and ad recommendation efforts. With \$75B+ ARR already going through Advantage+ continues to create the runway for further revenue performance tied to deployment and scale of advertiser and content creator AI solutions. Overall business delivered 28% Y/Y revenue growth with ads growing 27% Y/Y and the top end of the guide pointing to 25% Y/Y for 3Q against tougher compares. Operating margin ex one-time legal fees landed in-line at 35%, though management's call out of potential further legal outcomes may remove the one-time label there.

If you want *something* to underwrite AI ROIC for non-core, we'll point to everyone's favorite catch-all revenue bucket: Other revenue, which grew an impressive 73% Y/Y cross \$1B+ for the first time ever. Yes, it's a small number to be sure against ~\$60B in quarterly revenue, but the line item mostly consists of business messaging, subscription, and payment revenues. Importantly, as Meta starts to ship AI agents for business messaging alongside subscription and volume-based pricing that's launching as we speak, **we could see a meaningful acceleration in Other revenues**. As with everything new and untested, we urge caution in over underwriting a new technology, but it's something.

Lastly a word on CapEx. Meta took up the bottom-end of the range by \$5B but left the top-end in place at \$145B alongside consistent commentary on increased spending through at least 2027 until they feel good about their capacity situation. As with the rest of the print, not a lot of new news to report.

So what to do with the stock here. We get it, it's hard to underwrite a story in a volatile narrative-driven tape. If you're looking for trade ideas, Meta is not it. But if you want an investment opportunity? **Meta is poised to open trading at ~15x next year's earnings based on where the stock is trading after-hours.** You get paid to own Meta at 15x.

If you want a story that goes with it? We get the barrage of product announcements in the second half, something possibly finds traction and captures consumer attention. Meta announces plans to scale the product across their user base while the company finally starts to find a way to monetize WhatsApp via Business Agents - after all, remember it's the businesses who are adopting AI with a willingness to pay. We get triple digit growth to 'Other' in 3Q, and now the AI story has legs and some numbers to go with it. Add in commentary that Meta feels good about right-sizing their capacity by the end of 2027, or points to some normalization in capital intensity. Is that a story worth 15x? We think so.

We remain Outperform on Meta, with a PT of \$800/share (down from \$850), implying 22x (-1x) 2027E P/E. We value Meta using a 50/50 combination of 2027e EV/Sales multiple of 6.7x (-0.3x), and a DCF using a WACC of 10% and a terminal growth of 3.5%. We slightly take down multiple and tweak our DCF revenue growth assumptions to reflect the updated guidance. We consider Meta primarily a digital advertising business and benchmark valuation to comparable peers in this industry set.

RESULTS

Following +33% Y/Y revenue growth last quarter, Meta delivered yet another strong performance with revenue rising +28% Y/Y [27% FxN] to \$60.8B, landing in-line with consensus and a touch light of the Buy side bogey. The quarter was supported by resilient advertiser demand in the U.S., and a healthy combination of engagement growth and ad monetization gains. These improvements continue to be driven by Meta's ongoing AI investments, which are enhancing both user engagement and advertising efficiency across the platform.

- **Strong momentum continues for the Ad business** with revenues up 27% Y/Y [26% FxN] to \$59.4B. Ad impressions and pricing growth remained healthy, with strength coming from both volume and monetization. Ad impressions increased +14% Y/Y (vs +19% Y/Y last quarter) and was healthy across regions while ad pricing rose +12% Y/Y supported by ad performance gains.
- **Users and time spent continued to trend higher.** Last quarter, we saw DAP declining slightly to 3.56B Q/Q as WhatsApp limits in Russia and the war in Iran had disrupted usage. DAP increased sequentially this quarter to 3.6B, up 3% Y/Y

highlighting sustained user momentum across the platform family. Engagement trends continue to benefit from ongoing improvements to Meta's AI-powered content recommendation systems, which are driving greater content relevance, higher video consumption, and increased time spent across its apps.

- **Paid messaging revenue growth strong but small.** Other Revenues grew +73% Y/Y to reach \$1B, coming in well above Street estimates. Reality Labs revenue grew 16% Y/Y to \$431M driven by strong AI glasses demand, partially offset by lower Quest headset sales.
- **Meta's growth algorithm is alive and well, with the ad business benefiting from a powerful combination of rising engagement and improving monetization.** There are a growing set of AI-driven levers across content recommendations, ad ranking, targeting, and creative optimization, providing confidence that both user time spent and advertiser ROI can continue to improve in tandem. AI is already turbocharging Meta's core business, powering the next generation of products, and also creating entirely new enterprise revenue opportunities.
- **Meaningful engagement gains across Meta's platforms.** Meta highlighted ongoing success from its AI-powered recommendation initiatives, with time spent on Instagram growing at a double-digit rate Y/Y globally, driven primarily by improvements to Feed and Reels recommendations. On Facebook, video engagement remained strong, with time spent increasing 9% Y/Y globally and more than 10% in the U.S. and Canada, reflecting continued progress in ranking models and content relevance.
- **Meta's family of apps continues to operate at unprecedented scale.** Instagram has now reached 2B DAUs, while Threads has surpassed 500M MAUs, making it the fastest-growing conversation app ever. Facebook has also sustained more than 2B DAUs for a while now. Meanwhile, WhatsApp recently set a new messaging record, peaking at 30M messages per second during the World Cup final.
- **Focus on monetization efficiency.** Meta continues to improve ad delivery by optimizing the timing and placement of ads across its platforms, while also expanding monetization on newer surfaces.
 - During the quarter, the company completed the global ads expansion on Threads, while on WhatsApp it introduced additional ad destinations, advertiser objectives, and business tools, remaining on track for a broader global rollout.
 - Meta highlighted its new Meta generative recommender, which uses LLMs to jointly understand ad content and user preferences, enabling more intelligent and precise ad matching. Early pilots leveraging LLMs to better understand user preferences drove a 1% increase in app-event conversions on Instagram. Broader advancements in retrieval, ranking, and user understanding models contributed to an 8.3% increase in ad clicks and a 15.7% uplift in conversions on Facebook. At the same time, Meta's AI-powered **Advantage+ suite continues to gain traction, surpassing a \$75B annual revenue run-rate**, underscoring the growing role of AI in improving advertiser outcomes and monetization efficiency.
- **3Q guidance implies robust growth despite modest FX headwinds.** Meta guided 3Q26 revenue to \$61B-\$64B, implying 19%-25% Y/Y growth, while assuming FX represents ~1% headwind to Y/Y revenue growth. On the expense side, management raised the low end of its full-year outlook to reflect the \$2.4B legal-related charge recognized in 2Q and now expects FY26 total expenses of \$165B-\$169B (compared with prior range of \$162B-\$169B).
- Meta continues to face youth-related regulatory and legal challenges globally, with several U.S. trials scheduled this year that could ultimately result in a material loss.

Emerging new vectors on AI product monetization

- With Muse Spark advancing as planned, Meta appears well positioned to move from building models to shipping products, leveraging its AI progress to drive a steady stream of new experiences, features, and monetization opportunities. Since rebuilding Meta AI and integrating Muse Spark, the number of people interacting with the assistant daily has increased 60%, with usage continuing to grow rapidly week-over-week.
- **Strong demand for new AI powered creative tools.** 9M small businesses on Meta platforms are now using at least one of its AI ad creative tools, and the company is rolling out new end to end creative solutions that help advertisers translate performance data into their creative decisions. The recently launched Muse image model can supercharge this. The model

can analyze images, improve its own work, and produce better ad variations based on advertiser input, and is getting great feedback so far.

- Meta recently launched **Meta One**, a subscription offering that provides access to premium AI features across its apps, with additional pricing tiers expected over time.
- **Paid Model APIs.** Another notable development was Meta's recent launch of Muse Spark 1.1, its most advanced AI model to date, which delivered meaningful improvements in agentic capabilities. Importantly, the release [introduced a paid API offering](#) for developers, marking the first time Meta has charged businesses for access to its frontier models and establishing a new, although early, revenue stream. Meta highlighted ongoing investments in enterprise-focused features on the model designed to simplify deployment and adoption.
- At the same time, **AI is helping Meta ship products faster**, as evidenced by recent launches such as [Forum](#) (a standalone groups app) and [Seller](#) (a standalone marketplace app). Productivity gains can make it increasingly easier for Meta to build, test, and launch new applications, creating a larger pipeline of future growth opportunities.
- **Personal AI agents still in vision form only.** Meta is working towards a future where AI agents become a mainstream consumer platform. While agents have gained early traction in coding, management believes the larger opportunity lies in building personal AI agents that work seamlessly on behalf of users across everyday tasks and goals. The company's focus is on delivering a consumer experience that can scale to billions of people, ultimately enabling a future where users interact with multiple AI agents across Meta's ecosystem.
- **Business messaging & agents gaining momentum and could become a meaningful monetization pillar over time.** Meta's AI business agents are now available globally across WhatsApp and Messenger, with more than 1M businesses using them weekly to engage customers and drive sales. Meta is rolling business agents out on Instagram now too. Earlier this month, Meta launched the Meta AI Business Assistant Platform, providing enterprises with the infrastructure to build, customize, and deploy AI agents at scale across WhatsApp. Management's longer-term vision is a "business-in-a-box" platform, where Meta's AI platforms can help businesses start and run their entire operation. Monetization can potentially come through a mix of subscriptions, usage-based pricing, and even performance-based models tied directly to customer outcomes.
- Meta described its glasses as among the fastest-growing consumer electronics products ever, with recent product launches continuing to broaden the portfolio. The latest Meta glasses ship with Muse Spark integrated out of the box, enabling real-time visual understanding and more capable AI assistance. Early demand has exceeded expectations, and Meta projected confidence that AI-powered wearables could become an increasingly important distribution channel for Meta AI over time.
- **And worth reiterating, the investment case doesn't require every initiative to succeed.** Not every initiative needs to succeed - a single breakout success can be enough to reshape the narrative. Whether it's an app that achieves viral adoption, a new product that begins generating meaningful ARR, or a KPI that provides tangible evidence of traction in an adjacent market, one credible proof point is often all that's required to unlock investor imagination and expand perceptions of the company's addressable opportunity.

Expenses, CAPEX, profitability, and FCF

- **Capex range tightened for FY 26.** After increasing its FY26 CapEx outlook by \$10B last quarter to \$125B-\$145B, the company tightened the range to \$130B-\$145B this quarter, implying spending is tracking toward the upper end of prior expectations. **Importantly, there are signs Meta is increasingly focused on ROI from its AI investments.** In the context of Meta's plans to potentially offer cloud infrastructure and model access to third parties, management noted that the company is receiving offers for compute at "a significant premium over what we paid for it." Leasing excess capacity into a supply-constrained market could provide a practical way for Meta to generate incremental returns on its rapidly expanding AI investment base.
- 2Q GAAP operating income was \$18.8B, down 8% Y/Y, with an operating margin of 31%. However, excluding the \$2.4B legal-related charge and \$1.2B of severance expenses associated with the May 2026 headcount reduction, operating income would have increased 9% Y/Y.

- Total expenses rose 55% Y/Y to \$42B, driven primarily by higher employee compensation, infrastructure spending, legal-related costs, and third-party AI token expenses. Excluding severance, compensation growth reflected continued investment in technical talent, particularly AI hires. Meanwhile, infrastructure costs increased due to higher depreciation, data center operating expenses, and cloud spend as Meta continues to aggressively scale its AI infrastructure footprint.
- Meta's tax rate expectations rose slightly to 15-17% through year-end vs. 13-16% range previously.
- Free cash flow was \$784M in the quarter, and Meta ended the quarter with \$90.3B in cash and marketable securities and \$83.7B of debt.
- Meta ended Q2 with just over 75,000 employees, down -3% sequentially or -1% Y/Y. This total includes ~8,000 employees affected by the May 2026 workforce reduction. Management expects the majority of these employees to roll off reported headcount by the end of Q3 2026.

Estimate and PT revisions:

- **Revenues:** We modestly take down our ad revenue and reality lab revenue estimates for 3Q26, FY 26 and FY27 tied to recent revenue performance and guidance. We take up our forecast for Other Revenue meaningfully tied to strong momentum and new initiatives.
- **Margins:** We largely maintained our 2026 total expense and margin profile for longer term.
- **EPS:** We modestly took down our 3Q26 and 2026 EPS estimates due to one-time cost and increased tax rate guidance. Beyond 2026, we slightly take down our EPS estimates, mainly driven by the increased tax rate guidance.
- **CapEx:** We maintained our CapEx estimates for 2026 and beyond.
- **We remain Outperform on Meta, with a PT of \$800/share (down from \$850), implying 22x (-1x) 2027E P/E.** We value Meta using a 50/50 combination of 2027e EV/Sales multiple of 6.7x (-0.3x), and a DCF using a WACC of 10% and a terminal growth of 3.5%. We slightly take down multiple and tweak our DCF revenue growth assumptions to reflect the updated guidance. We consider Meta primarily a digital advertising business and benchmark valuation to comparable peers in this industry set.

EXHIBIT 1: **Meta estimates revisions****META: Bernstein estimate revisions**

		New	Old	New vs. old	New Growth Y/Y	Consensus	New v Consensus
Total revenue	2Q26	60,801	61,135	-1%	28%	60,245	1%
	3Q26	64,058	64,918	-1%	25%	63,170	1%
	FY26	256,376	258,033	-1%	28%	253,177	1%
	FY27	312,754	313,429	0%	22%	302,588	3%
DAP	2Q26	3,600	3,602	0%	3%	3,613	0%
	3Q26	3,646	3,646	0%	3%	3,671	-1%
	FY26	3,687	3,687	0%	3%	3,684	0%
	FY27	3,838	3,838	0%	4%	3,802	1%
EPS	2Q26	6.18	7.36	-16%	-13%	7.15	-14%
	3Q26	7.11	7.41	-4%	575%	6.96	2%
	FY26	32.27	34.03	-5%	37%	32.76	-1%
	FY27	36.68	37.70	-3%	14%	34.94	5%
EBIT margin ex restructuring	2Q26	35%	34%	1%			
	3Q26	32%	32%	0%			
	FY26	35%	35%	0%			
	FY27	34%	34%	0%			
Capex	2Q26	30,116	36,681	-18%	82%	33,167	-9%
	3Q26	41,958	38,951	8%	123%	38,883	8%
	FY26	140,331	140,030	0%	101%	135,790	3%
	FY27	224,088	224,101	0%	60%	177,152	26%
Total expense	2Q26	42,026	40,288	4%	55%		
	3Q26	43,367	43,949	-1%	41%		
	FY26	168,995	168,147	1%	44%		
	FY27	204,893	205,346	0%	21%		

Source: Company report, Bloomberg and Bernstein analysis and estimates

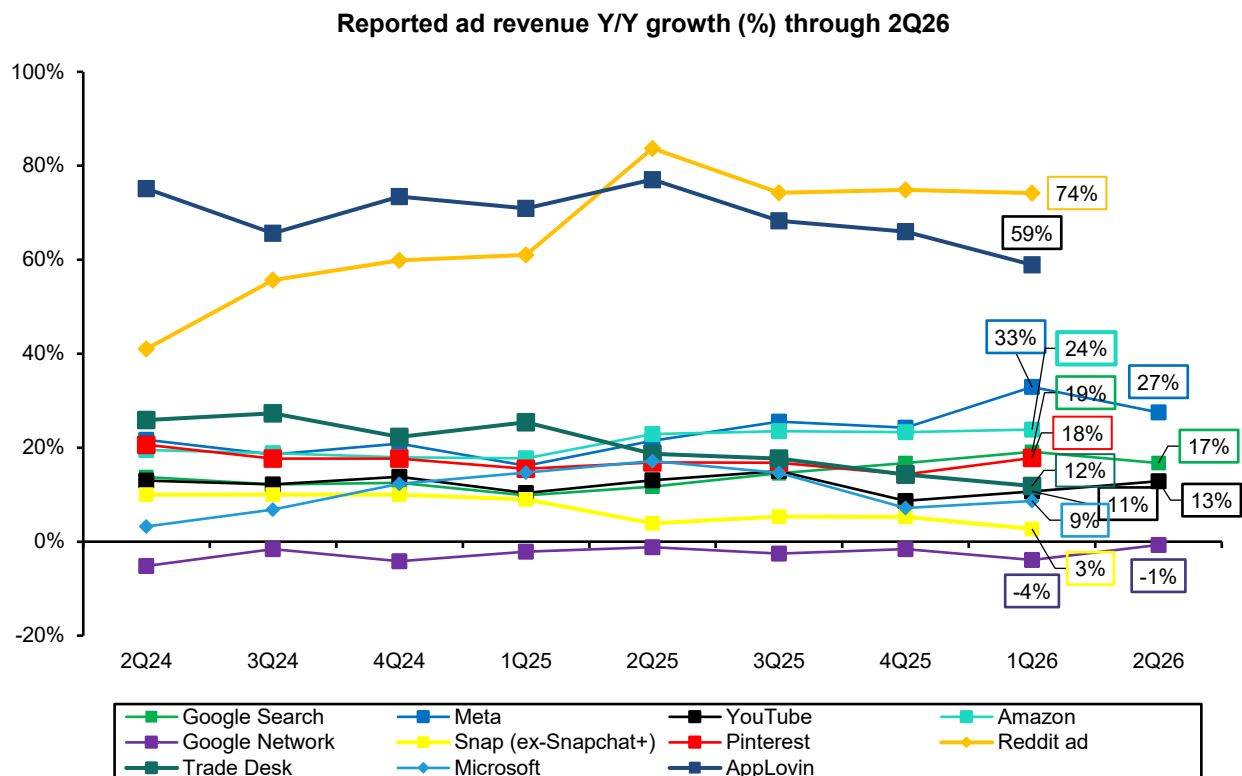
EXHIBIT 2: **Meta 2Q26: EBIT is impacted by one-time legal charge**

META 2Q26 vs. Expectations (\$M)						
	2Q26A	Y/Y growth	Bernstein	Beat/Miss	Consensus	Beat/Miss
Family DAP	3,600	3%	3,602	0%	3,613	0%
Revenue	60,801	28%	61,135	-1%	60,245	1%
FoA	60,370	28%	60,650	0%	59,765	1%
Advertising	59,363	27%	59,735	-1%	58,902	1%
Other	1,007	73%	915	10%	863	17%
Reality Labs	431	16%	485	-11%	429	1%
Total Expenses	42,026	55%	40,288	-4%	38,715	-9%
EBIT	18,775	-8%	20,847	-10%	21,530	-13%
EBIT Margin (%)	31%	-12ppt	34%	-3ppt	36%	-5ppt
EBIT Margin ex restructuring						
Net Income	15,848	-14%	18,803	-16%	18,499	-14%
Diluted EPS	6.18	-13%	7.36	-16%	7.15	-14%

For 3Q26	\$M	3Q26 Y/Y			
Midpoint revenue	62,500	22%	With 1% fx headwind		
Revenue guidance	Bottom end	Top end			
	61,000	64,000			
Growth	19%	25%			
FY26	Bottom end	Top end	Average	Previous	
Expenses	165,000	169,000	167,000	165,500	
CAPEX	130,000	145,000	137,500	135,000	

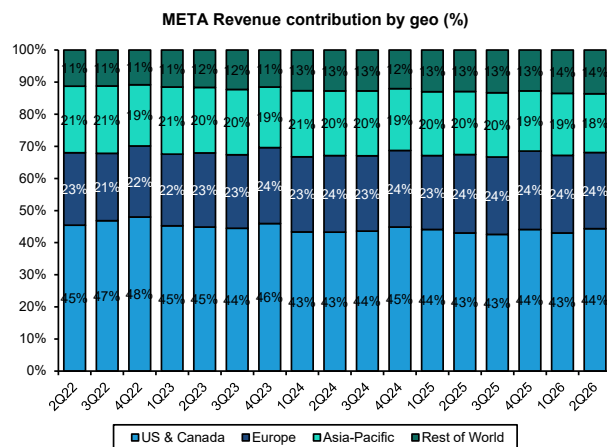
Source: Company reports, Bloomberg, Bernstein estimates and analysis

EXHIBIT 3: Digital ads growth (%)



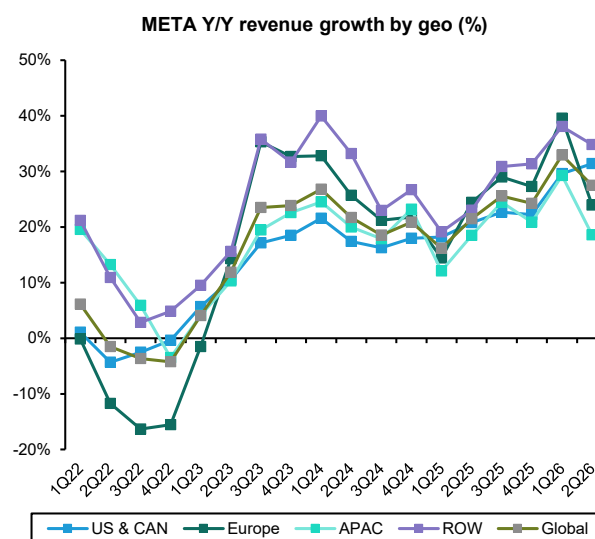
Google, Meta, Amazon, Snapchat, Pinterest; AppLovin excludes IAP
Source: Company reports, Bernstein analysis

EXHIBIT 4: Revenue contribution by geography



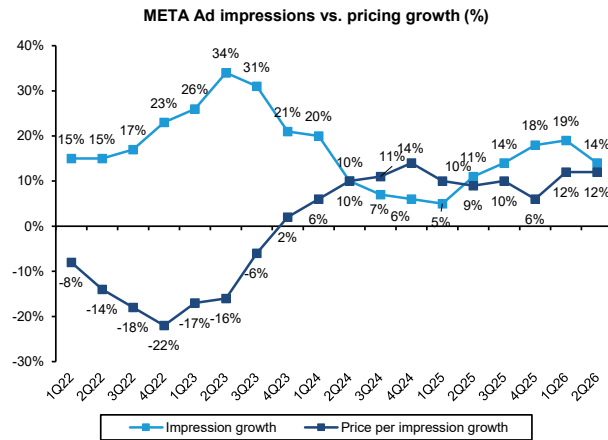
Source: Company filings and Bernstein analysis

EXHIBIT 5: Y/Y Revenue growth by geography



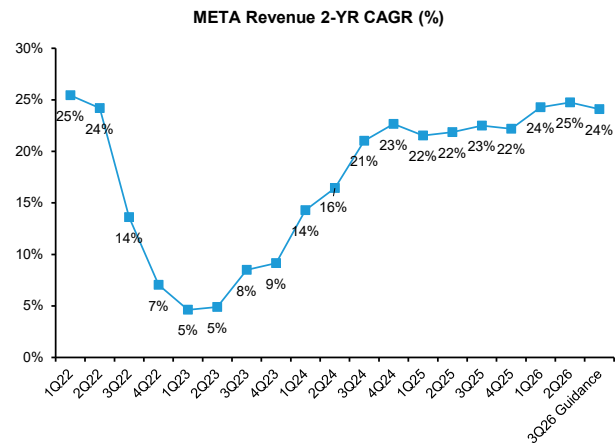
Source: Company filings and Bernstein analysis

EXHIBIT 6: Ad impressions vs. pricing



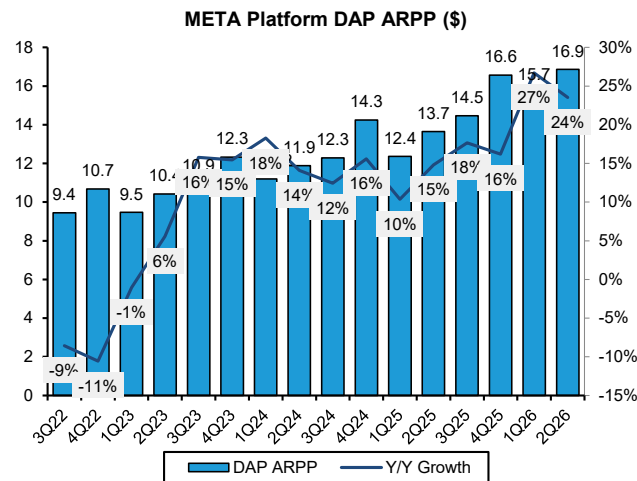
Source: Company filings and Bernstein analysis

EXHIBIT 7: META Ad revenue 2-YR CAGR



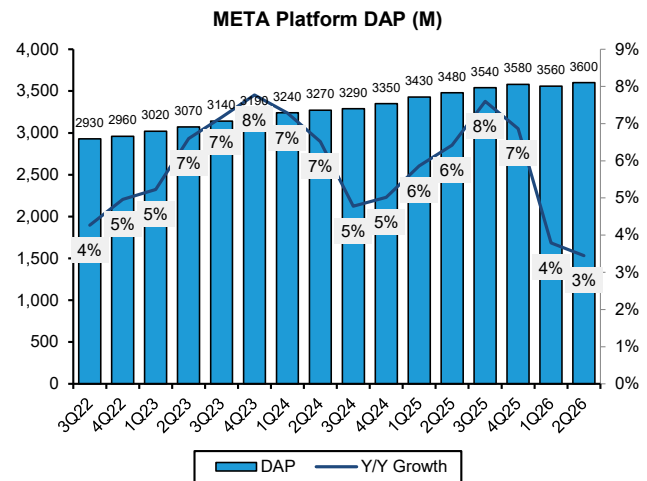
Source: Company filings, Bernstein analysis

EXHIBIT 8: Meta's ARPP

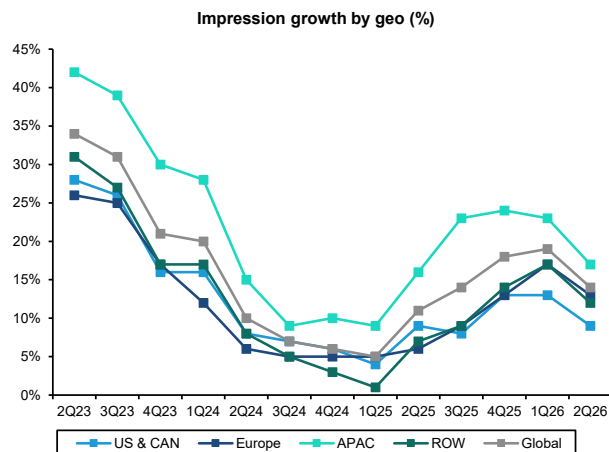


Source: Company reports and Bernstein analysis

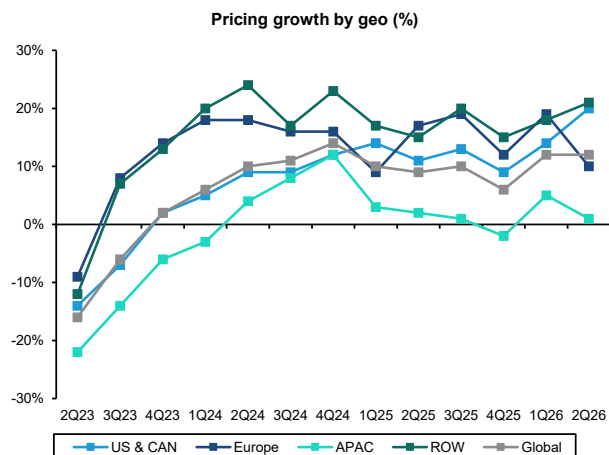
EXHIBIT 9: Meta's DAP



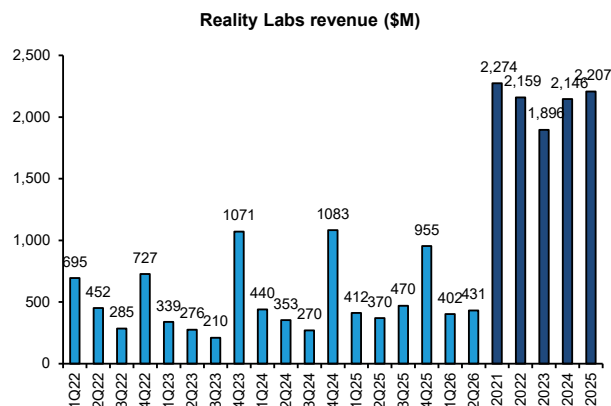
Source: Company reports and Bernstein analysis

EXHIBIT 10: **Impression Y/Y growth**

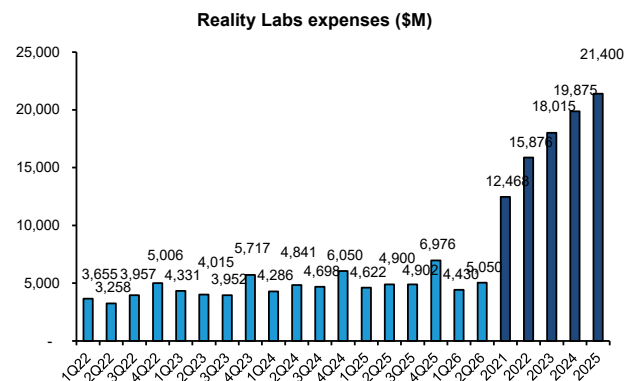
Source: Company filings and Bernstein analysis

EXHIBIT 11: **Pricing Y/Y growth**

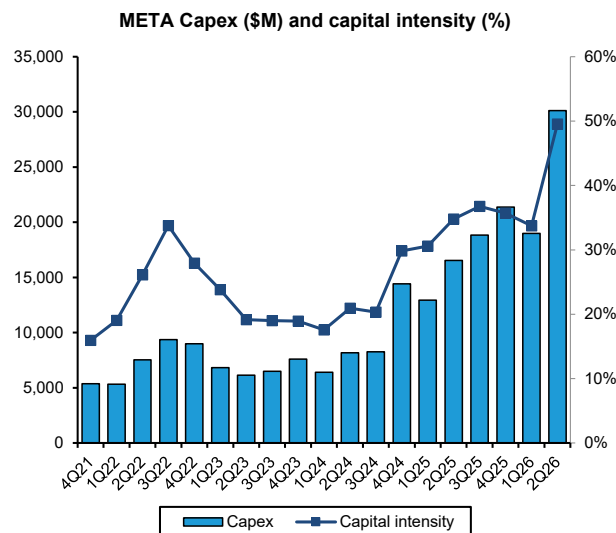
Source: Company filings and Bernstein analysis

EXHIBIT 12: **Reality Labs revenue**

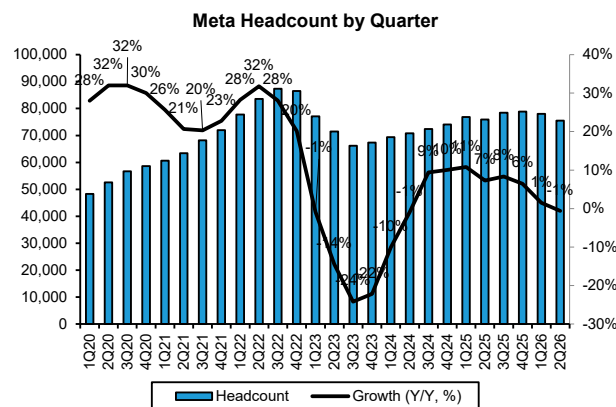
Source: Company filings and Bernstein analysis

EXHIBIT 13: **Reality Labs expenses**

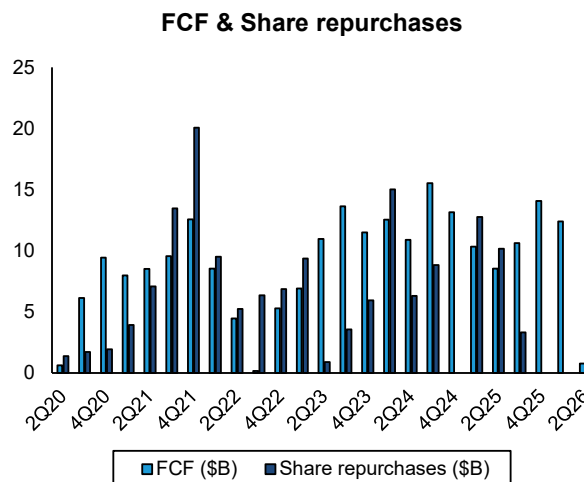
Source: Company filings and Bernstein analysis

EXHIBIT 14: **Meta Capex (\$M) & Capital Intensity (%)**

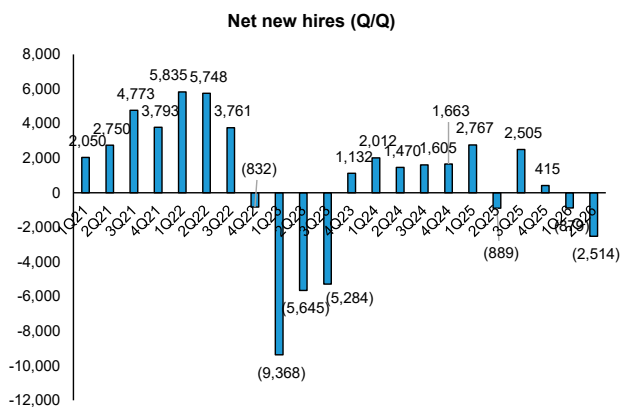
Source: Company reports and Bernstein analysis

EXHIBIT 16: **Meta's headcount**

Source: Company reports, Bernstein analysis

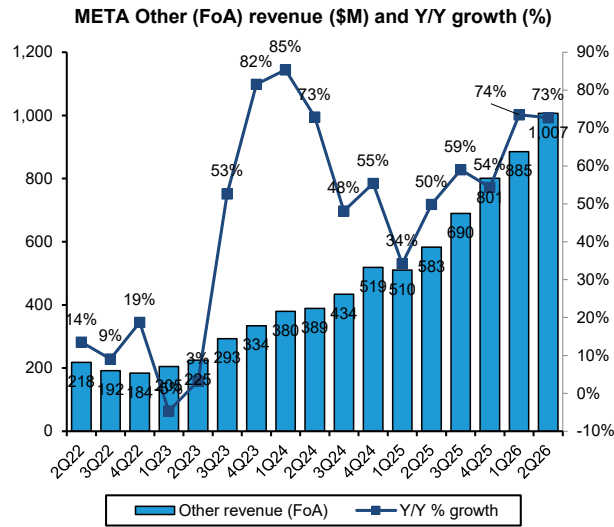
EXHIBIT 15: **Meta FCF and share repurchase**

Source: Company reports, Bernstein analysis

EXHIBIT 17: **Headcount Q/Q change**

Source: Company reports, Bernstein analysis

EXHIBIT 18: **Meta other revenue growth**



Source: Company reports and Bernstein analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 19: Our META model

in millions except per share and percentage data

META	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	FY2025	FY2026E	FY2027E	FY2028E
GAAP INCOME STATEMENT												
Revenue	42,314	47,516	51,242	59,893	56,311	60,801	64,058	75,207	200,965	256,376	312,754	365,559
Cost of Revenue	7,572	8,491	9,206	10,905	10,218	11,330	12,171	14,289	36,174	48,008	59,390	69,132
Research and Development	12,150	12,942	15,144	17,136	17,699	21,656	22,356	25,796	57,372	87,507	104,809	123,082
Sales and Marketing	2,757	2,979	2,845	3,410	2,908	3,431	4,740	5,264	11,991	16,344	22,274	25,954
General and Administrative	2,280	2,663	3,512	3,697	2,614	5,609	4,100	4,813	12,152	17,136	18,420	20,837
Total Expenses	24,759	27,075	30,707	35,148	33,439	42,026	43,367	50,163	117,689	168,995	204,893	239,005
EBIT	17,555	20,441	20,535	24,745	22,872	18,775	20,691	25,044	83,276	87,381	107,861	126,554
D&A	3,900	4,342	4,963	5,411	5,999	6,356	8,648	10,153	18,616	31,156	52,543	58,489
EBITDA (incl. SBC)	21,455	24,783	25,498	30,156	28,871	25,131	29,339	35,197	101,892	118,537	160,404	185,043
EBIT ex one-off item	17,555	20,441	20,535	24,745	22,872	21,175	20,691	25,044	83,276	89,781	107,861	126,554
Other Income (Expenses)	827	93	1,128	609	(1,120)	(19)	734	718	2,657	313	2,749	2,081
Net Income	16,644	18,337	2,709	22,768	26,773	15,848	18,211	21,897	60,458	82,729	94,018	109,340
Weight Avg. Diluted Shares	2,590	2,570	2,572	2,565	2,564	2,566	2,563	2,563	2,574	2,564	2,563	2,563
GAAP EPS	6.43	7.14	1.05	8.88	10.44	6.18	7.11	8.54	23.49	32.27	36.68	42.66
GAAP Margins:												
Gross Margin	82%	82%	82%	82%	82%	81%	81%	81%	82%	81%	81%	81%
EBIT Margin	41%	43%	40%	41%	41%	31%	32%	33%	41%	34%	34%	35%
EBITDA Margin	51%	52%	50%	50%	51%	41%	46%	47%	51%	46%	51%	51%
EBIT Margin ex one-off item	41%	43%	40%	41%	41%	35%	32%	33%	41%	35%	34%	35%
YY Growth (GAAP):												
Revenue	16%	22%	26%	24%	33%	28%	25%	26%	22%	28%	22%	17%
EBITDA	25%	34%	19%	8%	35%	1%	15%	17%	20%	16%	35%	15%
EPS	36%	38%	-83%	11%	62%	-13%	575%	-4%	-2%	37%	14%	16%
NON-GAAP METRICS												
Adjusted EBITDA (ex-SBC)	25,602	29,617	31,053	36,047	34,896	32,789	36,560	42,854	122,319	147,099	193,257	222,825
Adjusted EBITDA Margin	61%	62%	61%	60%	62%	54%	57%	57%	61%	57%	62%	61%
Non-GAAP Net Income	20,791	23,171	8,264	28,659	32,798	24,241	25,432	29,554	80,885	112,026	126,872	147,121
Non-GAAP EPS	8.03	9.02	3.21	11.17	12.79	9.45	9.92	11.53	31.42	43.69	49.50	57.40
KEY METRICS												
DAP	3,430	3,480	3,540	3,580	3,560	3,600	3,646	3,687	3,580	3,687	3,838	3,988
DAP Growth (Y/Y, %)	6%	6%	8%	7%	4%	3%	3%	3%	7%	3%	4%	4%
ARPP	12.4	13.7	14.5	16.6	15.66	16.86	17.57	20.40	16.6	20.4	23.9	26.8
BALANCE SHEET & CASH FLOW												
Cash + Marketable Securities	70,230	47,071	44,448	81,592	81,180	90,260	88,501	77,508	81,592	77,508	71,630	36,108
All Other	209,983	247,673	259,396	284,429	314,070	359,696	393,521	438,313	284,429	438,313	620,035	802,011
Total Assets	280,213	294,744	303,844	366,021	395,250	449,956	482,021	515,821	366,021	515,821	691,665	838,119
Capex	12,941	16,538	18,829	21,383	18,997	30,116	41,958	49,260	69,691	140,331	224,088	230,302
Capital intensity	31%	35%	37%	36%	34%	50%	66%	66%	35%	55%	72%	63%
FCF	10,334	8,549	10,625	14,077	12,386	784	(13,339)	(8,763)	43,585	(8,932)	(46,961)	(26,605)
FCF/Share	3.99	3.33	4.13	5.49	4.83	0.31	(5.20)	(3.42)	16.94	(3.49)	(18.32)	(10.38)

Source: Company reports, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	29 Jul 2026		TTM Rel. Perf.	Reported EPS				Reported P/E (x)		
			Closing Price	Price Target		Cur	2025A	2026E	2027E	2025A	2026E	2027E
META (Meta)	O	USD	585.61	800.00	(31.2)%	USD	23.49	32.27	36.68	24.9	18.1	16.0
OLD				850.00				34.03	37.70			
SPX			7,316.15									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein's "affiliates" relate to both SG and AB and their respective affiliates.

An associate contributing to this report has a financial interest in the equity or debt securities of Meta Platforms Inc..

VALUATION METHODOLOGY**Meta Platforms Inc.**

We value Meta on a Price Target of \$800 using a 50/50 combination of 2027e EV/Sales multiple of 6.7x, and a DCF using a WACC of 10% and a terminal growth of 3.5%. We consider Meta primarily a digital advertising business and benchmark valuation to comparable peers in this industry set.

RISKS**Meta Platforms Inc.**

Downside risk to our target price:

- Meta is currently under investigation in multiple regulatory proceedings now mostly focused on teen-protection and anti-trust domestically and abroad.
- Signs that we're reaching maturity in digital ads, increased competition as alternatives emerge with compelling ad ROIs, or further privacy related changes (e.g., Cookie depreciation) could all put press on Meta's revenue outlook resulting in compressing revenue growth and de-rating.
- Meta's metaverse aspirations could lead to margin headwinds and potentially minimal ROIC, which could negatively affect both estimates and multiples.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIA) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- **Outperform (OP):** Stock will outpace the relevant index by more than 10 pp
- **Neutral (N):** Stock will perform in line with the market index to within +/- 10 pp
- **Underperform (UP):** Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- **Outperform (OP):** The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- **Neutral (N):** The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- **Underperform (UP):** The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- **Credit Outperform (C-OP):** The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Neutral (C-N):** The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Underperform (C-UP):** The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side) within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

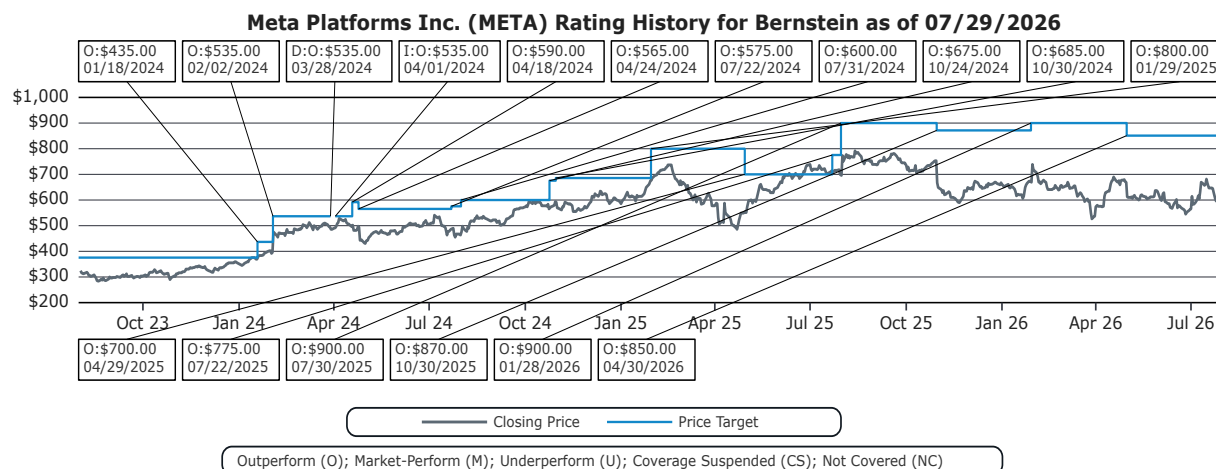
DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of June 30, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY

Prior to April 1, 2024, Sanford C. Bernstein & Co., LLC. issued the ratings and price target information in the graph(s) below for the following companies: Meta Platforms Inc..



All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

CONFLICTS OF INTEREST

Bernstein Autonomous LLP or BSG France SA, beneficially, has either a net long or short position of 0.5% or more of the total issued share capital of a class of common equity securities of the following MiFID eligible securities: Meta Platforms Inc..

Certain affiliates of Bernstein act as market maker or liquidity provider in the debt securities of: Meta Platforms Inc..

Certain affiliates of Bernstein act as market maker or liquidity provider in the equities securities of: Meta Platforms Inc..

OTHER MATTERS

The legal entity(ies) employing the analyst(s) listed in this report, and their location, can be determined by the country code of their phone number, as follows:

- +1 Bernstein Institutional Services LLC; New York, New York, USA
- +44 Bernstein Autonomous LLP; London UK
- +212 Société Générale Africa Technologies & Services; Casablanca, Morocco
- +33 BSG France S.A.; Paris, France
- +34 BSG France S.A.; Madrid, Spain
- +41 Bernstein Autonomous LLP; Geneva, Switzerland
- +49 BSG France S.A.; Frankfurt, Germany
- +91 Sanford C. Bernstein (India) Private Limited; Mumbai, India
- +852 Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司; Hong Kong, China
- +65 Sanford C. Bernstein (Singapore) Private Limited; Singapore
- +81 Sanford C. Bernstein Japan KK; Tokyo, Japan

Where this report has been prepared by research analyst(s) employed by a non-US affiliate, such analyst(s), is/are (unless otherwise expressly noted below) not registered as associated persons of Bernstein Institutional Services LLC or any other SEC-registered broker-dealer and are not licensed or qualified as research analysts with FINRA. Accordingly, such analyst(s) may not be subject to FINRA's restrictions regarding (among other things) communications by research analysts with a subject company,

interactions between research analysts and investment banking personnel, participation by research analysts in solicitation and marketing activities relating to investment banking transactions, public appearances by research analysts, and trading securities held by a research analyst account.

Where this report has been prepared by research analyst(s) employed by Société Générale Africa Technologies & Services (part of the Société Générale group of companies), it has been prepared on behalf of a Bernstein company under a Global Services Agreement in place between Bernstein and Société Générale.

CERTIFICATION

Each research analyst listed in this report, who is primarily responsible for the preparation of the content of this report, certifies that all of the views expressed in this publication accurately reflect that analyst's personal views about any and all of the subject securities or issuers and that no part of that analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views in this publication.

II. ADDITIONAL GLOBAL CONFLICT DISCLOSURES

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e., the private side) within the Firm, and into other areas, units, groups or affiliates (i.e., public side) of the Firm.

III. OTHER IMPORTANT INFORMATION AND DISCLOSURES

Separate branding is maintained for "Bernstein" and "Autonomous" research products.

- Bernstein produces a number of different types of research products including, among others, fundamental analysis and quantitative analysis under both the "Autonomous" and "Bernstein" brands. Recommendations contained within one type of research product may differ from recommendations contained within other types of research products, whether as a result of differing time horizons, methodologies or otherwise. Furthermore, views or recommendations within a research product issued under one brand may differ from views or recommendations under the same type of research product issued under the other brand. The Research Ratings System for the two brands and other information related to those Rating Systems are included in the previous section.
- Autonomous operates as a separate business unit within the following entities: Bernstein Institutional Services LLC, Bernstein Autonomous LLP, Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 and Sanford C. Bernstein (India) Private Limited. For information relating to "Autonomous" branded products (including certain Sales materials) please visit: www.autonomous.com. For information relating to Bernstein branded products please visit: www.bernsteinresearch.com.

Analysts are compensated based on aggregate contributions to the research franchise as measured by account penetration, productivity and proactivity of investment ideas. No analysts are compensated based on performance in, or contributions to, generating investment banking revenues.

This report has been produced by an independent analyst as defined in Article 3 (1)(34)(i) of EU 596/2014 Market Abuse Regulation ("MAR") and the same article of MAR as it forms part of United Kingdom domestic law by virtue of the European Union (Withdrawal) Act 2018.

To our readers in the United States: Bernstein Institutional Services LLC, a broker-dealer registered with the U.S. Securities and Exchange Commission ("SEC") and a member of the U.S. Financial Industry Regulatory Authority, Inc. ("FINRA") is distributing this publication in the United States and accepts responsibility for its contents. Where this material contains an analysis of debt product(s), such material is intended only for institutional investors and is not subject to the US independence and disclosure standards applicable to debt research prepared for retail investors.

Bernstein Institutional Services LLC may act as principal for its own account or as agent for another person (including an affiliate) in sales or purchases of any security which is a subject of this report. This report does not purport to meet the objectives or needs of any specific individuals, entities or accounts.

To our readers in Canada: If this publication pertains to a Canadian domiciled company, it is being distributed in Canada by Sanford C. Bernstein (Canada) Limited, which is licensed and regulated by the Canadian Investment Regulatory Organization. If the publication pertains to a non-Canadian domiciled company, it is being distributed by Bernstein Institutional Services LLC, which is licensed and regulated by both the SEC and FINRA, into Canada under the International Dealers Exemption.

This document may not be passed onto any person in Canada unless that person qualifies as "permitted client" as defined in Section 1.1 of NI 31-103.

To our readers in Brazil: This report has been prepared by Bernstein Institutional Services LLC, and Banco BTG Pactual S.A. ("BTG") is responsible for the distribution of this report in Brazil.

To readers in the United Kingdom: This publication has been issued or approved for issue in the United Kingdom by Bernstein Autonomous LLP, authorised and regulated by the Financial Conduct Authority and located at 60 London Wall, London EC2M 5SH, +44 (0)20-7170-5000. Registered in England & Wales No OC343985.

This document is for distribution only to persons who (i) have professional experience in matters relating to investments falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Financial Promotion Order"), (ii) are persons falling within Article 49(2)(a) to (d) ("high net worth companies, unincorporated associations, etc.") of the Financial Promotion Order, (iii) are outside the United Kingdom, or (iv) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the FSMA) in connection with the issue or sale of any securities may otherwise lawfully be communicated or caused to be communicated (all such persons together being referred to as "relevant persons"). This document is directed only at relevant persons and must not be acted on or relied on by persons who are not relevant persons. Any investment or investment activity to which this document relates is available only to relevant persons and will be engaged in only with relevant persons.

To our readers in the member states of the EEA: This publication is being distributed by BSG France SA, which is authorised and regulated by the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and Autorité des Marchés Financiers (AMF).

To our readers in Hong Kong: This publication is being distributed in Hong Kong by Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, which is licensed and regulated by the Hong Kong Securities and Futures Commission (Central Entity No. AXC846) to carry out Type 4 (Advising on Securities) regulated activities and subject to the licensing conditions mentioned in the SFC Public Register (<https://www.sfc.hk/publicregWeb/corp/AXC846/details>). This publication is solely for professional investors, as defined in the Securities and Futures Ordinance (Cap. 571). The purpose of this report is solely to provide an analysis of the issuers referred to in this report and is not intended for any purpose contrary to the laws of Hong Kong.

To our readers in Singapore: This publication is being distributed in Singapore by Sanford C. Bernstein (Singapore) Private Limited, only to accredited investors or institutional investors, as defined in the Securities and Futures Act 2001 of Singapore ("SFA"). Recipients in Singapore should contact Sanford C. Bernstein (Singapore) Private Limited in respect of matters arising from, or in connection with, this publication. Sanford C. Bernstein (Singapore) Private Limited is regulated by the Monetary Authority of Singapore and licensed under the SFA as a capital markets services licence holder for dealing in capital markets products that are securities and collective investment schemes and an exempt financial adviser for advising on, issuing and promulgating analyses and reports on securities. Sanford C. Bernstein (Singapore) Private Limited is registered in Singapore with Company Registration No. 20213710W and located at 8 Marina Boulevard, #12-01, Marina Bay Financial Centre, Singapore 018981, +65-6326-7000.

To our readers in the People's Republic of China: The securities referred to in this document are not being offered or sold and may not be offered or sold, directly or indirectly, in the People's Republic of China (for such purposes, not including the Hong Kong and Macau Special Administrative Regions or Taiwan, the "PRC") in contravention of any applicable laws of the PRC.

This document does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC to any person to whom it is unlawful to make the offer or solicitation in the PRC.

We do not represent that this document may be lawfully distributed, or that any securities may be lawfully offered, in compliance with any applicable registration or other requirements in the PRC, or pursuant to an exemption available thereunder, or assume any responsibility for facilitating any such distribution or offering. In particular, no action has been taken by us which would permit a public offering of any securities or distribution of this document in the PRC. Accordingly, the securities are not being offered or sold within the PRC by means of this document or any other document. Neither this document nor any advertisement or other offering material may be distributed or published in the PRC, except under circumstances that will result in compliance with any applicable laws and regulations.

To our readers in Japan: This publication is being distributed in Japan by Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社), which is registered in Japan as a Financial Instruments Business Operator with the Kanto Local Finance Bureau (registration number: The Director-General of Kanto Local Finance Bureau (FIBO) No.3387) and regulated by the Financial Services Agency. It is also a member of Investment Management Association of Japan. This publication is solely for qualified institutional investors in Japan only, as defined in Article 2, paragraph (3), items (i) of the Financial Instruments and Exchange Act.

For the institutional client readers in Japan who have been granted access to the Bernstein website by Daiwa Securities Group Inc. ("Daiwa"), your access to this document should not be construed as meaning that Bernstein is providing you with investment advice

for any purposes. Whilst Bernstein has prepared this document, your relationship is, and will remain with, Daiwa, and Bernstein has neither any contractual relationship with you nor any obligations towards you.

To our readers in Australia: Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 is responsible for distributing research in Australia. It is regulated by the Securities and Exchange Commission under U.S. laws, by the Financial Conduct Authority under U.K. laws, which differs from Australian laws. Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 is exempt from the requirement to hold an Australian financial services license under the Corporations Act 2001 in respect of the provision of the following financial services to wholesale clients:

- providing financial product advice;
- dealing in a financial product;
- making a market for a financial product; and
- providing a custodial or depository service.

To our readers in India: This publication is being distributed in India by Sanford C. Bernstein (India) Private Limited (SCB India) which is licensed and regulated by Securities and Exchange Board of India ("SEBI") as a research analyst entity under the SEBI (Research Analyst) Regulations, 2014, having registration no. INH000006378 and as a stock broker having registration no. INZ000213537. SCB India is currently engaged in the business of providing research and stock broking services. Please refer to www.bernsteinresearch.in for more information.

- SCB India is a Private limited company incorporated under the Companies Act, 2013, on April 12, 2017 bearing corporate identification number U65999MH2017FTC293762, and registered office at Level 3A, 4th Floor, First International Financial Centre, Plot Nos C-54 and C-55, G Block, Near CBI Office, Bandra Kurla Complex, Bandra (East), Mumbai 400098, Maharashtra, India (Phone No: +91-22-68421401).
- For details of Associates (i.e., affiliates/group companies) of SCB India, kindly email MUM-BERNSTEIN-InCompliance@bernsteinsg.com.
- SCB India does not have any disciplinary history as on the date of this report.
- Except as noted above, SCB India and/or its Associates (i.e., affiliates/group companies), the Research Analysts authoring this report, and their relatives
 - do not have any financial interest in the subject company
 - do not have actual/beneficial ownership of one percent or more in securities of the subject company;
 - is not engaged in any investment banking activities for Indian companies, as such;
 - have not managed or co-managed a public offering in the past twelve months for any Indian companies;
 - have not received any compensation for investment banking services or merchant banking services from the subject company in the past 12 months;
 - have not received compensation for brokerage services from the subject company in the past twelve months;
 - have not received any compensation or other benefits from the subject company or third party related to the specific recommendations or views in this report; and
 - do not currently, but may in the future, act as a market maker in the financial instruments of the companies covered in the report.
 - do not have any conflict of interest in the subject company as of the date of this report.
- Except as noted above, the subject company has not been a client of SCB India during twelve months preceding the date of distribution of this research report. Neither SCB India nor its Associates (i.e., affiliates/group companies) have received compensation for products or services other than investment banking, merchant banking or brokerage services from the

subject company in the past twelve months.

- The principal research analyst(s) who prepared this report, members of the analysts' team, and members of their households are not an officer, director, employee or advisory board member of the companies covered in the report.
- Our Compliance officer / Grievance officer is Ms. Rupal Talati, who can be reached at +91-22-68421451, or MUM-BERNSTEIN-InCompliance@bernsteinsg.com / Scbin-investorgrievance@bernsteinsg.com
- The Research investor charter and Terms & Conditions of SCB India are available on its website and may be accessed at [Sanford C. Bernstein \(India\) Private Limited](https://bernsteinresearch.in/) (https://bernsteinresearch.in/) for your reference.
- Disclaimer: Registration granted by SEBI, and certification from NISM, is in no way a guarantee of performance of the intermediary or provide any assurance of returns to investors. Investments in securities market are subject to market risks. Read all the related documents carefully before investing.

To our readers in Switzerland: This document is provided in Switzerland by or through Bernstein Autonomous LLP, and is provided only to qualified investors as defined in article 10 of the Swiss Collective Investment Scheme Act ("CISA") and related provisions of the Collective Investment Scheme Ordinance and in strict compliance with applicable Swiss law and regulations. The products mentioned in this document may not be suitable for all types of investors. This document is based on the Directives on the Independence of Financial Research issued by the Swiss Bankers Association (SBA) in January 2008.

To our readers in the Middle East: Bernstein Autonomous LLP, DIFC branch has its principal office at Gate Village 06, DIFC, Dubai, UAE. Bernstein Autonomous LLP, DIFC branch is regulated by the Dubai Financial Services Authority (DFSA) with the registration number CL10040 and is provisioned for Arranging Deals in Investments and Advising on Financial Products. All communications and services are directed at Professional Clients and Market Counterparties only (as defined in the DFSA rulebook). Persons other than Professional Clients and Market Counterparties, such as Retail Clients, are not the intended recipients of our communications or services.

LEGAL

All research publications are disseminated to our clients through posting on the firm's password protected websites, bernsteinresearch.com and autonomous.com. Certain, but not all, research publications are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience.

This publication has been published and distributed in accordance with the Firm's policy for management of conflicts of interest in investment research, a copy of which is available from Bernstein Institutional Services LLC, Director of Compliance, 245 Park Avenue, New York, NY 10167. Additional disclosures and information regarding Bernstein's business are available on our website www.bernsteinresearch.com.

The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors where that permission profile is not consistent with the licenses held by the entities noted herein. This document is for distribution only as may be permitted by law. This publication is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of, or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject any of the entities referenced herein or any of their subsidiaries or affiliates to any registration or licensing requirement within such jurisdiction. This publication is based upon public sources we believe to be reliable, but no representation is made by us that the publication is accurate or complete. We do not undertake to advise you of any change in the reported information or in the opinions herein. This publication was prepared and issued by entity referred to herein for distribution to eligible counterparties or professional clients. This publication is not an offer to buy or sell any security, and it does not constitute investment, legal or tax advice. The investments referred to herein may not be suitable for you. Investors must make their own investment decisions in consultation with their professional advisors in light of their specific circumstances. The value of investments may fluctuate, and investments that are denominated in foreign currencies may fluctuate in value as a result of exposure to exchange rate movements. Information about past performance of an investment is not necessarily a guide to, indicator of, or assurance of, future performance.

This report is directed to and intended only for our clients who are "eligible counterparties", "professional clients", "institutional investors" and/or "professional investors" as defined by the aforementioned regulators, and must not be redistributed to retail clients as defined by the aforementioned regulators. Retail clients who receive this report should note that the services of the entities noted herein are not available to them and should not rely on the material herein to make an investment decision. The result of such act will not hold the entities noted herein liable for any loss thus incurred as the entities noted herein are not registered/ authorised/ licensed to deal with retail clients and will not enter into any contractual agreement/arrangement with retail clients. This report is provided subject to the terms and conditions of any agreement that the clients may have entered into with the entities noted herein. All research reports are disseminated on a simultaneous basis to eligible clients through electronic publication to

our client portal.

The information in this report was prepared by Bernstein solely for the internal business use of our clients. Clients may store, display, analyze, reformat and print the information in this report for this limited use only. Clients may not copy, alter, create derivative works, resell, reverse engineer, commercially exploit, share or distribute any part of the information contained herein for any purpose without Bernstein's express written consent. These restrictions include extracting data or using the content to develop indices or other products. Further, you may not use this report, or any portion of this report, to train or finetune any third-party machine learning or artificial intelligence system, or as a prompt or input into any such system. You also may not, without Bernstein's express written consent, do any of the foregoing in connection with your own internal machine learning or artificial intelligence system.

Bernstein may use artificial intelligence tools in the preparation of its materials. Any such materials are reviewed by Bernstein's research analysts prior to publication.

This report has been prepared for information purposes only and is based on current public information that we consider reliable, but the entities noted herein do not warrant or represent (express or implied) as to the sources of information or data contained herein are accurate, complete, not misleading or as to its fitness for the purpose intended even though the entities noted herein rely on reputable or trustworthy data providers, it should not be relied upon as such. Opinions expressed are the author(s)' current opinions as of the date appearing on the material only and we do not undertake to advise you of any change in the reported information or in the opinions herein.

Any references to Societe Generale herein are purely factual, based upon publicly available information, and included for comparative purposes only. They do not constitute an opinion or recommendation with respect to the securities of Societe Generale.

This publication was prepared and issued by the entity referred to herein for distribution to eligible counterparties or professional clients. The information in this report is intended for general circulation and does not constitute an offer to buy or sell any security, investment, legal or tax advice nor a personal recommendation, as defined by any of the aforementioned regulators. It does not take into account the particular investment objectives, financial situations, or needs of individual investors. The report has not been reviewed by any of the aforementioned regulators and does not represent any official recommendation from the aforementioned regulators. The investments referred to herein may not be suitable for you. Investors must make their own investment decisions in consultation with advice sought from a financial adviser regarding the suitability of the investment product, taking into account the specific investment objectives, financial situation or particular needs of any recipient of the recommendation, before the recipient makes a commitment to purchase the investment product.

The analysis contained herein is based on numerous assumptions. Different assumptions could result in materially different results. The information in this report does not constitute, or form part of, any offer to sell or issue, or any offer to purchase or subscribe for shares, or to induce engagement in any other investment activity. The value of any securities or financial instruments mentioned in this report may fluctuate subject to market conditions. Information about past performance of an investment is not necessarily a guide to, indicative of, or assurance of future performance. Estimates of future performance mentioned by the research analyst in this report are based on assumptions that may not be realized due to unforeseen factors like market volatility/fluctuation. In relation to securities or financial instruments denominated in a foreign currency other than the clients' home currency, movements in exchange rates will have an effect on the value, either favorable or unfavorable. Before acting on any recommendations in this report, recipients should consider the appropriateness of investing in the subject securities or financial instruments mentioned in this report and, if necessary, seek independent professional advice.

The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors where that permission profile is not consistent with the licenses held by the entities noted herein. This document is for distribution only as may be permitted by law. It is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject the entities noted herein to any regulation or licensing requirement within such jurisdiction.

Source: Bloomberg Index Services Limited. BLOOMBERG® is a trademark and service mark of Bloomberg Finance L.P. and its affiliates (collectively "Bloomberg"). Bloomberg or Bloomberg's licensors own all proprietary rights in the Bloomberg Indices. Neither Bloomberg nor Bloomberg's licensors approves or endorses this material, or guarantees the accuracy or completeness of any information herein, or makes any warranty, express or implied, as to the results to be obtained therefrom and, to the maximum extent allowed by law, neither shall have any liability or responsibility for injury or damages arising in connection therewith.

No part of this material may be reproduced, distributed or transmitted or otherwise made available without prior consent of the entities noted herein. Copyright Bernstein Institutional Services LLC Bernstein Autonomous LLP, BSG France S.A., Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited and Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社). All rights reserved. The trademarks and service marks contained herein are

the property of their respective owners. Any unauthorized use or disclosure is strictly prohibited. The entities noted herein may pursue legal action if the unauthorized use results in any defamation and/or reputational risk to the entities noted herein and research published under the Bernstein and Autonomous brands.